

Let's discuss the guidelines for finding inverted roofs.

Identification Guidelines

[Table 54.1](#) shows the identification guidelines, and refer to [Figure 54.2](#) as another example of an inverted roof at A.

Appearance. Look for price that has a flat top and V-shaped bottom. The top need not be horizontal, but it should be close. The bottom of the pattern should form a V, with price staying within two trendlines, but be flexible.

[Table 54.1](#) Identification Guidelines

Characteristic	Discussion
Appearance	Has a horizontal or near-horizontal top with a V-shaped bottom, making the pattern look like the bottom half of a diamond.
Price trend	Often (67% of the time) the inbound price trend will be upward. A downward price trend with an upward breakout may be a head-and-shoulders bottom.
Symmetrical	If you split the pattern vertically down the center, the two halves should appear symmetrical, but be flexible. Price should near or touch the top line several times.
Volume	Trends downward the majority of the time.
Breakout direction	The breakout can be in any direction. A close outside the pattern boundary signals a breakout.

You will want to avoid an inverted roof that is really a head-and-shoulders bottom (or complex head-and-shoulders bottom). That means an inverted roof pattern should see price enter the pattern from the bottom, exit downward, or have no discernable shoulders (one on each side of the divot in the pattern). Again, be flexible. If you accidentally find a head-and-shoulders instead of an inverted roof, you may be rewarded with better performance.

Price trend. The inbound price trend can be either up or down, but leans heavily toward being upward. [Figure 54.2](#) shows an upward price trend